Amazon.com, Inc.

AMZN NASDAQ

Buy	$249.04 ▼ 0.54%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.69T

AMZN: Post-Rally Breather, Earnings Setup Looks Juicy

WHAT HAPPENED

- Stock dropped ~5% over two days ($262 → $249) on light volume today (14.5M vs 48M yesterday) — this looks like profit-taking into next week's earnings, not a fundamental break. The low volume tells me big money isn't dumping, they're just not stepping in to catch it.
- Options flow is sending mixed signals — put/call ratio of 0.43 is bullish (way more calls than puts), but there's a big unusual $260 put buy that smells like someone hedging a long position into earnings rather than outright betting against it.

WHY IT MATTERS

This pullback is almost certainly a pre-earnings de-risking move — Amazon reports next week and the stock had run hard into the print. The real story: AWS growth and AI monetization. If AWS prints 19%+ growth (vs. ~17% expected), this stock gaps back to $270+ fast because it validates that the massive AI capex ($100B+ this year) is actually generating revenue, not just burning cash. The CEO of Worldwide Stores selling 1,000 shares is nothing — that's a rounding error for an exec at his level and almost certainly a scheduled 10b5-1 sale, not a signal. The bigger setup: institutions still own 68.8% and aren't selling, which means smart money is holding through the print.

POLICY & POLITICAL WATCH

Two live wires to watch: (1) The FTC's antitrust case against Amazon is still grinding through the courts — a trial date in 2027 means headline risk, but the political winds have shifted and aggressive breakup rhetoric has cooled. (2) Tariff policy on Chinese imports directly hits Amazon's third-party sellers (60%+ of units sold) — if the administration escalates on China this quarter, retail margins get squeezed. On the tailwind side: federal AI infrastructure spending and the Pentagon's JWCC cloud contract (which AWS shares with Microsoft, Google, Oracle) means government cloud revenue is a growing, defensible pipeline regardless of which party holds power.

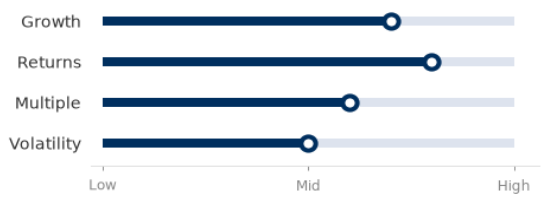
IS IT EXPENSIVE?

At ~36x forward earnings, you're paying $36 for every $1 Amazon earns next year — that's not cheap, but it's actually in-line with its 5-year average and cheaper than Microsoft (~34x) when you factor in Amazon's higher growth. The real valuation story is EV/EBITDA at ~17x — meaning if you bought the whole company, it'd take 17 years of cash earnings to pay yourself back, which is reasonable for a business compounding 15%+ with three massive secular tailwinds (cloud, ads, AI). Translation: not a bargain, but not stretched either — a fair price for a great business.

Key Data

Price (USD)	**$249.04**
12M Price Target	**$310.00**
Upside / (Downside)	**+24.5%**
Market Cap	**$2.69T**
FY2026E Revenue	**$710M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**36.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 23, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$275.00**	$258.00	**$235.00**
6 Months	**$300.00**	$275.00	**$230.00**
1 Year	**$335.00**	$310.00	**$240.00**
2 Years	**$400.00**	$350.00	**$260.00**
5 Years	**$550.00**	$450.00	**$300.00**
10 Years	**$900.00**	$650.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.66%) is leading on crude strength and likely some geopolitical premium — plus the administration's friendlier posture toward domestic production is giving the sector a bid. Tech is quietly green on the day despite mega-cap wobbles.

COOLING OFF: Healthcare (-1.04%) and Utilities (-0.94%) — classic defensive rotation OUT, which is actually risk-on behavior. Money leaving defensives usually means it's going into growth/cyclicals.

ROTATION WATCH: Money's rotating from defensives into energy and select tech — this is a healthy "greed" setup heading into mega-cap earnings. If AMZN, MSFT, GOOGL all beat next week, this rotation accelerates.

RELATED PLAY: If the AI capex story keeps working, the picks-and-shovels names (NVDA, data center REITs like EQIX, power infrastructure like VRT) benefit directly from Amazon's $100B+ spending.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Riding cloud reacceleration and AI search monetization — same AI tailwind as AMZN but with less retail drag.
- META (Meta Platforms): Ad business is on fire and AI-driven targeting is lifting pricing — the ad market strength is a positive read-through for Amazon's own fast-growing ad segment.

AMZN CONTEXT: AMZN is lagging the mega-cap AI cohort over the past week, which actually sets up a better risk/reward into earnings — expectations have cooled, so the beat bar is lower. Lagging into a print you believe in is a gift.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — High conviction long, but I'm respecting that earnings next week is a binary event in the short term.

POSITION SIZE: 4-6% of portfolio. This is a core mega-cap — big enough to matter, small enough that an earnings miss doesn't wreck you.

ENTRY POINTS: Start a position at $245-250 now, add aggressively if we get a macro-driven flush to $235 before earnings.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings next week; longer term it's AI revenue inflection in 2027.

WHEN TO BAIL: If AWS growth drops below 15% two quarters in a row, or if free cash flow stays negative for all of 2027, the thesis is broken.

HEDGING: If you're nervous about earnings, buy a cheap November put a few dollars below current price — think of it as insurance that costs ~1-2% of your position but caps your downside if the print is ugly.

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